NATIONAL ASSEMBLY, 7TH PARLIAMENT

PARLIAMENTARY STANDING COMMITTEE ON PUBLIC ACCOUNTS

REPORT ON THE OFFICE OF THE PRESIDENT FOR THE FINANCIAL YEAR ENDED 31 MARCH 2019 / 2020

REPORT NO: 4 OF 2024

TABLE OF CONTENTS`

COMMITTEE COMPOSITION 3

LIST OF ABBREVATIONS 4

1. INTRODUCTION 5

2. MANDATE OF THE COMMITTEE 5

3. METHODOLOGY 5

4. PURPOSE OF THE REPORT 6

5. COMMITTEE OBSERVATIONS 19

6. CONCLUSION 19

7. RECOMMENDATIONS 20

MEMBERS OF THE COMMITTEE 20

COMMITTEE COMPOSITION

Members of the Committee

Hon. Dudu Murorua	Chairperson
Hon. Hilaria Mukapuli	Deputy Chairperson
Hon. Leevi Katoma	
Hon. Fenni Nanyeni	
Hon. Julieta Kavetuna	
Hon. Elma Dienda	
Hon. Charmaine Tjirare	
Hon. Joseph Kauandenge	
Hon. Bernadus Swartbooi	
Hon. Kaviao Hengari	
Hon. Kennedy Shekupakela	
Hon. Joseph Vincent Mareka	
Hon. Hamunyera Hambyuka	
Hon.Emilia Nuyoma-Amupewa	

Secretariat

Mr. Protasius Nghileendele
Mr. Norbert Uuyuni
Mr. Geoffrey Muhinda
Ms. Gracious Mwiya

Office of the Auditor – General

Mr. Elias Tuaire
Mr. Shali Kapepo
Mr. Bartholomeus Mogotsi

LIST OF ABBREVATIONS

PAC	Public Accounts Committee
OAG	Office of the Auditor – General
SRO	Standing Rules and Orders
SOE	State – Owned Enterprises
TI	Treasury Instructions
SADC	Southern Africa Development Community
EDRMS	Electronic Document and Record Management System

1. INTRODUCTION

The Standing Committee on Public Accounts of the National Assembly established in terms of Article 59 of the Namibian Constitution, has statutory duties to examine, consider and report on the audit reports of the Auditor-General of Namibia as tabled in the National Assembly. This report presents the Committee's review and examination on the audited report of the Auditor-General of Namibia on the Office of the President for the financial year ended 31 March 2019/2020 and 2021. In this report, the Committee presents all the concerns observed during the review, assessment and examination process as well as the responses of the Accounting Officer on whose explanations were needed.

The Committee, after examining the above-mentioned report found it necessary to conduct public hearings with the Office of the President because issues of concern raised in the reports were major and of serious nature and warranted written responses by the Accounting Officer.

2. MANDATE OF THE COMMITTEE

The Committee has in terms Section 69 of Standing Rules and Orders of the National Assembly the duty to examine, consider and report on:

1) All reports of the Auditor General on any such accounts;
2) All accounts and reports of accounts where the State has interests; and
3) All State-Owned Enterprises and Parastatals;
4) Such other accounts, reports and any other matter or task as may be referred to the Committee by the House, or under any other law;
5) The Committee reports on its findings and makes its recommendations to the Assembly for consideration and debate;
6) Upon adoption of the report and recommendations by the Assembly, the Committee has a duty to report on the Implementation of the recommendations as adopted;

7) Such other accounts, reports and any other matter or task as may be referred to the Committee by the House, or under any other law.

3. METHODOLOGY

The Standing Committee on Public Accounts together with auditors of the Office of Auditor-General held a working session in Swakopmund from 28 November- 02 December 2022 to scrutinise audited reports of selected institutions. The process and procedure of examining the audit reports included the following:

a. Examine and analyse financial audited reports whilst noting pertinent issues of concern to the Committee and those in violation of the State Finance Act (Act No. 31 of 1991), Treasury Instructions and the Procurement Act (Act No 5 of 2015);

b. Evaluate issues identified with the advice of the auditors for follow-ups in the form of written responses;

c. Review of written responses of the Accounting Officer to assess the correctness of information and establish the phase of implementation of recommendations made by AG Office and the PAC.

4. PURPOSE OF THE REPORT

The purpose of this report is to inform the National Assembly on the review, assessment and examination of the audited financial reports of the Office of the President for the year ended 31 March 2019, 2020 and 2021 for discussion and subsequent adoption.

Main concern: issuance of credit cards without Treasury Authorisation

PARAGRAPH: 6.1 CREDIT CARDS

The Office had six (6) credit cards issued by the First National Bank and allocated to six (6) different officials who worked closely with the President. The Committee found that these credit cards were issued without Treasury Authorization.

Question 1

The Committee noted that the Office opened credit card facilities without Treasury Authorization and asked the Office to explain this decision.

Response by the Accounting Officer

The Accounting Officer admitted that they opened credit cards without Treasury approval, but when they received the query from the auditors, the Office approached Treasury to give Ex-Post Facto authorization. The Treasury Authorization was later granted.

Committee evaluation:

The Committee took note of the Accounting Officer's response, however it does not condone the non-compliance with Treasury Instructions and the State Finance Act. Furthermore, the Committee accepted the explanations after seeing copy of a letter of authorisation.

Committee recommendation

Committee recommends that Office of the President should always seek Treasury Authorization in accordance with Treasury Instructions, Chapter 2 (4) read together with Chapter 23 of State Finance Act 31 of 1991 as amended. The Committee further advises the Office to put measures in

place to ensure that all proof of payments are submitted to auditors for auditing purposes. Moreover, the Committee is satisfied with the Accounting Officer response and recommends that the Office should ensure that reconciliation was performed at all times.

The Office made payments in respect of entertainment expenses for His Excellency, the President on foreign/international as well as local trips from various credit cards. However, the auditors found that five (5) payment vouchers amounting to N$ 27 452.00 were not provided for audit purposes which caused an audit scope limitation because the auditors could not verify the correctness of the transactions.

Question 2

The Committee asked why the Office failed to provide the five (5) payment vouchers amounting to N$27 452.00.

Response by the Accounting Officer

According to Accounting Officer, the Office requested expenditure reports with supporting documents from the cardholder. However, these were not provided and in the end the Office had no choice but to request the staff member to refund the money. The funds in question were recovered from his leave gratuity because his employment contract ended.

Committee Evaluation

Committee took note of the Accounting Officer response

Committee recommendations

Committee recommends that the Office of the President should ensure that supporting documents for credit cards are obtained timely and safeguarded and provided for auditing purposes.

Question 3

The Committee noted that expenditure accountability reports that are completed after completion of a trip amounting to N$1 233 954.82 were not certified correct by the financial advisor. The same finding was made by the auditors in 2018/2019 yet there was no improvement on this matter.

Response by the Accounting Officer

According to the Accounting Officer, the reason why the Financial Advisor could not certify the expenditure of accountability reports correct was because the authors / compilers of the reports did not make provision for the Financial Advisor to certify the expenditure reports as correct and the reports were submitted directly to the Accounting Officer.

Committee evaluation

Committee took note of the Accounting Officer response.

Committee recommendations / Decision

Committee recommends that the Office of the President should ensure that expenditure accountability reports that are completed after completion of each trip should always be certified correct by the Financial Advisor.

Main concern: non submission of payment vouchers

PARAGRAPH: 7.1 BANK ACCOUNT: MARGINALISED SAN DEVELOPMENT

During the financial year under review, an audit was conducted on the San Development Bank Account and the auditors found the following anomalies:

- The Office paid various suppliers for the supply and delivery of food items of the Feeding Programme and;
- Monthly allowances for marginalized students, learners and casual workers from the San Development Bank Account.

However, thirteen (13) payment vouchers amounting to N$ 311 132.56 were not provided for audit purposes.

Question 4

The Committee asked the Office to explain why payment vouchers were not provided to auditors.

Response by the Accounting Officer

According to the Accounting Officer, the Office eventually found most of the vouchers except one. In addition, she mentioned that some of the vouchers requested by the auditors were bank charges and therefore the Office could not provide proof of vouchers.

Committee evaluation

The Committee took note of the Accounting Officer's response, however it disagrees with the explanation given because by the time of writing this report, the Committee was still not furnished with the payment vouchers amounting to N$ 90,698.00.

Recommendations / decision

The Committee recommends that the Office adheres to Treasury Instructions, Chapter 2 (4) read together with Chapter 23 of State Finance Act 31 of 1991.

Main concern: non submission of contracts

The Office of the President made payments of N$ 1 698 944.74 to seven (7) service providers during the year under review. However, the auditors were not provided with the Service Level Agreements which indicate rates payable and the duration of the contracts. Consequently, the auditors could not establish the basis of the contractual awards of the food suppliers and funeral services in the absence of agreements.

Question 5

The Committee asked why the Office failed to provide the service agreements as requested by the auditors.

Response by the Accounting Officer

The Accounting Officer informed the Committee that the Directorate of Marginalized Community was transferred from Office of the Prime Minister to Office of the President hence no Service Level Agreements were in their possession. The Office acknowledged and admitted that the service agreements could not be availed, except the three for audit purposes and assured the Committee that the Office have improved its filling system by implementing the Electronic Document and Record Management System (EDRMS). All documents are scanned before filling.

Committee evaluation

Committee took note of the Accounting Officer's explanation. However, it strongly believes that all documents could be safeguarded and provided for audit purposes.

Committee recommendation

The Committee recommends that the Accounting Officer should ensure that service agreements are filed and provided for audit purposes in future.

Main concern: no attendance register

The audit further found that, there was no attendance register provided for pay points 5, 8, 9 and 14. The auditors could not verify the amounts paid to casual workers and the names on the attendance register attached, were not on the pay sheets.

Question 6

The Accounting Officer was asked to explain why that there was no attendance register provided for pay point 5, 8, 9 and 14 to the auditors to verify the amount paid to casual workers. Committee asked further, if there was no attendance register, how was the payment done and to whom.

NB:

a) 5- Casual Workers: (Omaheke & Otjozondjupa Regions)
b) 8 - Casual Workers: Namapan (Otjozondjupa Region)
c) 9 -Casual Workers: Ondersjahorua (Otjozondjupa region)
d) 14-Casual Workers: Tsumkwe Constituency (Otjozondjupa region)

Response by the Accounting Officer

According to the Accounting Officer, the casual workers without attendance register were those employed on a permanent basis. Furthermore, the Office agreed with the audit findings that they could not find the attendance register. Moreover, the Office was well aware that casual workers were supposed to be paid according to the attendance register.

Committee evaluation

The Committee took note of the Accounting Officer's response, however it is dissatisfied with the poor management, handling and control of the Marginalised Bank Account.

Committee recommendation

The Committee recommends that the Accounting Officer should ensure that all relevant documents are provided before payments are made for verification purposes. The Accounting Officer should also ensure that the Marginalised Bank Account is managed in accordance with the State Finance Act and the Treasury Instructions.

Main concern: lack of supervision of paymasters

Question 7

The Committee noted that there was no supervisor who checked or verified for any discrepancies after a staff member (paymaster) had been sent to pay casual workers. The Committee asked why the checks and balances principle was not applied and why such discrepancies were not detected earlier.

Response of the Accounting Officer

According to the Accounting Officer, the Deputy Director and the Control Administrative Officer were supposed to verify or to make sure that what went out reached the correct and intended beneficiaries. However, that report never reached the Office of the Financial Advisor or the Accounting Officer for final verification. Additionally, the office dispatched two paymasters to the regions to complement each other's work. If one made a mistake, the other one would verify the work of the colleague. With this type of arrangement, the Office was convinced that the right beneficiary were indeed paid. Regarding the changing of surname, she informed the Committee that the paymaster only changed the surname of the beneficiary after she was informed that the surname of the person who performed the work was incorrect, however the payment was received by the intended beneficiary and was signed off by the rightful owner.

Committee evaluation

The Committee took note of the Accounting Officer's response, however the control measures as stated by the Accounting Officer, are poor and expose public funds to misappropriation and fraud.

Committee recommendation

Committee recommends that the Accounting Officer ensures that proper, effective financial internal control mechanisms were in place to curb fraud and safeguard state resources.

Main concern: it took a staff member 7 months to return outstanding money

Question 8

The Committee asked the Accounting Officer to explain why it took 7 months for the remaining amount that was not distributed, to be deposited back into the bank account. In addition, an amount of N$52 669.00 was outstanding. The Committee wanted to know what happened to the N$52 669.00 and the Office was requested to provide proof of the recovered amount.

Response of the Accounting Officer

According to the Accounting Officer, seven months without depositing the money back into the bank account was an oversight. The staff member was not able to prepare the expenditure report on time and without the report, it was not possible to deposit the money into the bank account since the remaining balance will only be determined after thorough examination and reconciliation of the transactions were finalised.

Furthermore, she mentioned that according to the records, the remaining amount after payments were made was N$ 69 687.04 and not N$ 52 669.00. Out of that balance of N$ 69 687.04, an amount of N$35 576.04 was handed over to the other paymaster who was not able to withdraw funds to pay the casual workers in Kavango West and Ohangwena Regions. Thus, the remaining amount came down to N$ 34 111.00 which was also eventually deposited into the bank account.

Committee evaluation

The Committee acknowledges the Accounting Officer's response, however, it noted that she contravened the State Finance Act and Treasury Instruction which state:

"The head of the office or a responsible person appointed in writing by him, shall check all money and face value documents daily to ensure that the amount on hand is correct, that no money which should have been banked has been withheld and that the instructions regarding the receipt, safekeeping and disposal of state moneys, have been complied with" ***(GC 1601)***

Committee recommendation

The Committee recommends that the Accounting Officer should always ensure adherence to the State Finance Act and the Treasury Instructions GC 1601 when handling state funds.

Main concern: the risk of travelling with huge amounts of money for long distances

Question 9

The Committee requested the Accounting Officer to explain why the staff members (paymasters) have to withdraw huge amounts of cash in Windhoek and travel with such cash to distribute the money in Otjozondjupa and Omaheke Regions.

Response of the Accounting Officer

According to the Accounting Officer, the Office share the same sentiments of the potential risk of staff members travelling with huge cash withdrawn from Windhoek. However, due to past experience, staff members arranged with regional banks for withdrawals of cash and they have faced delays due to insufficient funds and note denominations which have led to the decision of withdrawals to be made in Windhoek.

The option of electronic payments could be ideal, but some members of the San communities do not even have identity documents, let alone bank accounts.

Committee evaluation

The Committee disagrees with the response by the Office that banks in the regions did not have enough funds. It was just proper planning which the Accounting Officer lacked, that was evident in her response.

Committee recommendation

Committee took note of the Accounting Officer's response and recommends that she should refrain from the practice of withdrawing and travelling with huge sums of money to avoid the risk of theft and robbery.

Main concern: non-submission of required documents for verification

On 04 December 2019, a staff member withdrew N$ 4 000.00 from the San Development Bank Account for the payment of a cultural performance for the Southern Africa Development Community (SADC) Conference of San communities. However, the auditors found that the invoice for the performing group was not attached to the payment and the funds were withdrawn in Windhoek, while the event took place in Swakopmund. The trip authority for this trip was also not provided for audit purposes.

Question 10

The Committee requested the tax invoice for the cultural group from the Accounting Officer.

Response of the Accounting Officer

According to the Accounting Officer, the Office verbally requested the official to pay back the money. However, the Office was in the process of writing the letter to recover the money, since no proof of payment was provided to the Office. The Deputy Executive Director in the Office of the President summoned the staff member before he became a Commissioner and instructed the current employer to deduct the money from his salary. The Office is in possession of the proof that at least two months was deducted from his salary.

Committee evaluation

The Committee acknowledges the response by the Accounting Officer. However, it is disheartened by the poor management of this San Development Bank Account and the persistent violation of

Treasury Instructions (T.I H B0104) and **the State Finance Act**. The Committee has taken note of the consistent disregard for Treasury Instructions and the State Finance Act.

Committee recommendation

The Committee recommends that the Accounting Officer strictly adhere to Treasury Instructions (T.I B0104) and the State Finance Act.

Main concern: handing over money to third party

The auditors found that a staff members withdrew N$ 618 981.96 to pay 20 students and casual workers. However, N$ 41 872.48 of that amount was handed over by the staff member to a third party. There were no appointment letters or any other documents indicating the relationship between the third party and the payee (learner/student or casual worker) as per the pay sheet, despite the fact that the staff member was paid daily subsistence allowance to carry out this task. One of the control measures is that money should not be handed over to a person other than the payee.

Question 11

The Committee asked the Accounting Officer to explain why an amount of N$ 41 872.48 for 20 learners was received by a third party on behalf of the intended beneficiaries. The Accounting Officer was further asked how auditors could verify that the money was indeed paid to the intended recipients and she was requested to provide proof in this regard.

Response of the Accounting Officer

According to the Accounting Officer, the Office was convinced that payments meant for students, casual workers and other beneficiaries were indeed received by the rightful owners and not by the third parties. The Office did not receive complaints from those beneficiaries that they did not receive their money. On that basis, the Office believes the money was paid to the rightful owners.

Committee evaluation

The Committee disagrees with the response given by the Accounting Officer, because it is not convinced that it is true. There is no proof that the beneficiaries indeed received the money in the absence of the attendance register.

Committee recommendation

Committee took note of the Accounting Officer response and recommends that every payment must be supported by appropriate supporting documents.

Main concern: from the amount of N$618 981.96, an amount of N$113 358.24 was not paid to beneficiaries

Question 12

The Committee asked the Office to explain what happened to an amount of N$113 358.24 and to provide proof of how the money was spent or recovered.

Response of the Accounting Officer

According to the Accounting Officer, the remaining amount was not N$113 358.24 but N$77 658.24. The paymaster could not cover all remaining payment with N$77 658.24 since the total amount of money to be paid to the casual workers was N$109 585.28. Therefore, she borrowed N$35 576.04 to add to N$77 658.24 she already had, thus the total amount became N$113 234.28.

Out of N$113 234.28, the paymaster used N$109 585.28 to pay the remaining casual workers at Pay Point 30 as well as casual workers in the Zambezi Region who loaded the truck for food distribution. After all, afore-mentioned payments were done, a balance of N$ 3 649.00 was found and needed to be recovered from the staff member.

Committee evaluation

The Committee took note of the Accounting Officer's response, however, once again the Committee is deeply disappointed at the level of carelessness and lack of adherence to the provisions of law (State Finance Act and Treasury Instructions) by the Accounting Officer in managing the San Development Account. Furthermore, the Committee noted that 7 years has passed without any recovery.

Committee recommendation

The Committee recommends a once-off deduction of the full amount of N$ 3 649.00 with commensurate interest for the past 7 years.

Main concern: paying State money without invoices and supporting documents

On 22 November 2019, an amount of N$ 26 800.00 was paid in respect of student allowance and a flight ticket without invoices and supporting documents. The procurement procedures were also not followed as three (3) quotations and proof of registration were not attached to the payment vouchers.

Question 13

The Committee asked the Accounting Officer to explain what happened to the money (N$26 800.00) and to provide evidence in this respect.

Response of the Accounting Officer

The Accounting Officer admitted that the Office paid based on a quotation supplied by Friends Travel and Booking Agent and not on the invoice. The Office requested the student to send an invoice. Payments were made based on the evidence on visa, academic records and the qualification of the student.

Committee evaluation

The Committee took note of the Accounting Officer's response. However, no invoice and supporting documents were provided for the payment of N$ 26 800. In addition, the payment was also done through a third party who has not been identified to date.

Committee recommendation

The Committee recommends that the Accounting Officer should always ensure that payments are made based on correct invoices and not on quotations. In addition, correct procurement procedures should always be followed.

Main concern: the Office opted to do manual deposits instead of using the online Standard Bank system it acquired

The Office of the President acquired an online system from Standard Bank Namibia which enables the Office to create accounts of beneficiaries and to do all transactions online. Despite this online system, an amount of N$ 69 160 for nineteen (19) students was withdrawn by a staff member and manual deposits were made into beneficiaries' bank accounts instead of paying them online. Secondly, these bank accounts were not found on the bank account master list that was provided for audit purposes.

Question 14

The Committee asked the Office to provide proof that the bank accounts in which payments were made indeed belong to the 19 beneficiaries.

Response of the Accounting Officer

According to the Accounting Officer, the students provided their banking details at the time of payment after they were contacted since they were not found at the pay points when the paymasters went to make payment. Students with bank accounts provided their bank accounts and were verified correct on the list of the 19. The Office have evidence that 10 out of 19 were indeed verified and funds were deposited to the account names on the list.

Committee evaluation

The Committee took note of the Accounting Officer's response. However, it is concerned that although a state of the art online banking system from Standard Bank Namibia was acquired, the Office bypassed and ignored the said system, and continued with manual withdrawals and deposits making it difficult to leave an audit trail for accountability purposes.

Committee recommendation

The Committee recommends that the Office makes use of the online banking system making it easy for accountability and no manual transactions should be allowed in the future.

Main concern: money amounting to N$19 160.00 for 11 students was received by a third party

From an amount of N$ 162 380.00, a staff member handed over N$ 19 160.00 for eleven (11) students to a third party instead of distributing the money to students at schools and the casual workers at their pay points. There were also no appointment letters or any other documents indicating the relationship between the third party receiving the money and the payee (learner/student or casual worker) as per the pay sheet.

Question 15

The Committee asked the Accounting Officer to provide proof that the money was paid to the intended beneficiaries.

Response of the Accounting Officer

The Accounting Officer admitted that the money was received by the third party and the Office was made to understand that those were true caretakers of those students. The Office has no evidence of legally appointed guardians for the 11 students.

Committee evaluation

The Committee took note of the Accounting Officer's response. However, the Office failed to produce evidence to prove the guardianship for students despite continuous request by the Committee.

Committee recommendation

The Committee recommends that the office work within the required framework by using the online banking system and refrain from using the manual system and payments to unofficial third parties.

An amount of N$ 159 084.96 was withdrawn by a staff member as per the release for the payment of casual workers in Ohangwena Region for the period of November 2018-February 2019.

Question 16

Committee asked why payments were made without relevant supporting documents.

Response of the Accounting Officer

According to the Accounting Officer, the staff had been searching since the first public hearing looking for this particular pay sheet where the surnames of learners changed and could not find it. In addition, the Office could not find those bank accounts on the bank accounts master list which belonged to the Office of the President.

Committee evaluation

The Committee noted that an amount of N$159.084.96 was paid out in Ohangwena and there was no attendance register.

In Kunene an amount of N$259,786.00 was paid out and the original names on the master list of the beneficiaries were replaced with new names of the people that were not on the list and the same paymaster signed on behalf of the students and casual workers as recipients.

In Khomas and Erongo an amount of N$162,380.00 was paid to third party guardians and caretakers who signed on behalf of learners and there was no proof of relationship between learners and guardian or caretakers.

Committee recommendation

The Committee recommends that the Office should perform its duties within the required framework of using the online banking system. Furthermore, the Office should refrain from using the manual system and payments to non-officially approved third parties and without relevant supporting documents.

Main concern: bank reconciliation and student master list

Committee found that no evidence of bank reconciliations was provided for audit purposes. In addition, no student master list and bank account master list was provided to auditors.

Question 17

The Committee asked the Accounting Officer why she failed to submit bank reconciliation between the student master list and the bank account master list for the Marginalized Bank Account to the Auditor-General for audit purpose.

Response of the Accounting Officer

The Accounting Officer admitted that reconciliation was not done. The Office searched for payment vouchers, however the filing system failed them. She said, the Office had learned from its past mistakes and will improve the filing system by implementing a scanning document filing system immediately after the payment was processed that would serve as a backup.

Committee evaluation

The Committee took note of the Accounting Officer's response. However, it noted with great concern that the Office was continuously failing to perform reconciliations which is a vital control measure in accounting.

Committee recommendation

The Committee recommends that the Office perform regular reconciliations.

Main Concern: that procurement procedures were not followed in selecting the 11 suppliers that were paid a total amount of N$ 602 686.51

During the financial year under review, an audit was conducted on goods and other services and the audit found that 11 suppliers which were paid a total amount of N$602686.51 were selected without following the provision of the Procurement Act which require the sourcing at least three quotations.

Question 18

The Accounting Officer was asked to explain the procurement procedures followed to select the 11 suppliers.

Response of the Accounting Officer

According to the Accounting Officer, the Public Procurement Act was followed, however the environment in which the Office was operating, did not always make it possible to adhere to procurement procedures at all times. In most instances, procurement requests were given at short notice and 14 days' rule would not apply.

Committee evaluation

The Committee took note of the Accounting Officer's response. However, there are various methods of procurement the Office could had used. Therefore, the Committee does not condone deviation and non-compliance with the Procurement Act 15 of 2015 as amended.

Committee recommendation

The Committee recommends that the Accounting Officer should ensure that proper procurement procedures were followed in the future.

Main Concern: that of the N$ 602 686.51, the Office failed to provide vouchers worth N$ 336 119.00 to the auditors for audit purposes

Question 19

The Committee asked the Accounting Officer to explain and provide evidence why her Office failed to provide vouchers worth N$ 336 119.00 to the auditors for audit purposes.

Accounting Officer Responses

According to the Accounting Officer, the Office searched for those payment vouchers. However, filing system-failed office, have learned from that, and have since improved the filing system by implementing a scanning document filing system immediately after the payment was processed to serve as a backup. The system was working well and the documents were easily retrieved and traced.

Committee evaluation

The Committee is not satisfied with the Accounting Officer response because it believes that it's her responsibility to ensure the safekeeping and safeguarding of all records.

Committee recommendation

The Committee recommends that the Accounting Officer should ensure proper record keeping and comply with the State Finance Act Section 12 (1) (d) which read "*such other statements and accounts as the Auditor-General may require after consultation with the Permanent Secretary*"

5. COMMITTEE OBSERVATIONS

After the review process and holding of public hearings on the audited report of the Office of the President for the Financial Year ended 31 March 2019, the Committee observed that the following matters recurred in the subsequent financial years of 2020 and 2021 respectively:

a) The failure to perform reconciliation on a monthly basis and lack of strengthening of internal financial controls;
b) Failure to comply with applicable legislation, accounting standards and other mandatory reporting requirements approved by the Auditor-General;
c) Lack of record keeping of supporting documents (filling system);
d) Non–adherence to Treasury Instructions and the State Finance Act (e.g. opening credit cards without Treasury Instructions);
e) Non-availability of crucial key documents, appointment letters of officials assigned to high principals who were in possession of credit cards.

6. CONCLUSION

The Committee would like to emphasise the importance of interactions and communication between the Office of the President and the Office Auditor-General. The same applies to all other relevant stakeholders to find ways and means to improve the overall financial accountability of the Office and to explore avenues to bring changes into the relevant legislations to correspond to respond with current needs and demands. The Committee further appreciates the cooperation and information provided by the Office of the President in responding to the Committee's concerns as raised in the audited report.

5. COMMITTEE OBSERVATIONS

After the review process and holding of public hearings on the audited report of the Office of the President for the Financial Year ended 31 March 2019, the Committee observed that the following matters recurred in the subsequent financial years of 2020 and 2021 respectively:

a) The failure to perform reconciliation on a monthly basis and lack of strengthening of internal financial controls;
b) Failure to comply with applicable legislation, accounting standards and other mandatory reporting requirements approved by the Auditor-General;
c) Lack of record keeping of supporting documents (filling system);
d) Non–adherence to Treasury Instructions and the State Finance Act (e.g. opening credit cards without Treasury Instructions);
e) Non-availability of crucial key documents, appointment letters of officials assigned to high principals who were in possession of credit cards.

6. CONCLUSION

The Committee would like to emphasise the importance of interactions and communication between the Office of the President and the Office Auditor-General. The same applies to all other relevant stakeholders to find ways and means to improve the overall financial accountability of the Office and to explore avenues to bring changes into the relevant legislations to correspond to respond with current needs and demands. The Committee further appreciates the cooperation and information provided by the Office of the President in responding to the Committee's concerns as raised in the audited report.

7. RECOMMENDATIONS

The Committee recommends the following:

1. The Office of the President should consistently update the payment master list;
2. The Office should at all times adhere to procurement procedures;
3. The Office should obtain and verify key documents such legal guardians of underage learners in the San Community Development Programme;
4. The Office should establish a comprehensive data storage system to save guard and safe keep relevant supporting documents;
5. The Ministry of Home Affairs, Immigration, Safety and Security should strengthen their outreach campaigns and ensure that the marginalised members of society are registered

and in possession of national documents to enable them to open accounts with financial institutions.

MEMBERS OF THE COMMITTEE

Hon Dudu Murorua
Chairperson

Hon Hilaria Mukapuli
Deputy Chairperson

Hon Leevi Katoma

Hon Kennedy Shekupakela

Hon Julieta Kavetuna

Hon Fenni Nanyeni

Hon Hamunyera Hambyuka

Hon Elma Dienda

Hon Inna Hengari /Kovaro

Hon Emilia Amupewa

Hon Bernadus Swartbooi

Hon Charmaine Tjirare

Hon Mathias Mbundu

Hon Nico Smit

Hon Joseph Kauandenge

Hon Joseph Mareka